

Lower inflation will pave the way for a series of interest rate cuts

- **Key changes:** We've nudged up our 2026 GDP growth forecast for Hungary by 0.1ppt to 1.8%, followed by a 2.1% expansion in 2027. We've cut our inflation forecasts by 0.4pts to 2.8% this year and by 0.1pt to 3.9% in 2027, but in light of the US-Iran deal and the favourable monthly prints, we'll cut them in the upcoming forecast round to around 2% this year and 3% in 2027. Following the central bank's interest rate cut this month on the back of a better inflation outlook and a consistently strong forint, we expect 100bps more worth of cuts, bringing the end-year policy rate to 5%, down 50bps from last month.
- **Short-term forecast:** We remain cautiously optimistic about the economy's near-term prospects, with consumption – expected to advance by around 4% this year – remaining a key growth engine and outweighing the drag from stagnant investment. However, we expect investment to recover in line with improving business expectations, particularly when the inflow of frozen EU funds resumes later this year. The pace of expansion will be capped by soft foreign demand amid weak growth in the Eurozone and the flagging competitiveness of Hungarian goods due to higher costs and a stronger forint.
- **What to watch out for:** Since late March Hungarian 10-year bond yield has fallen by eye-catching 240bps to around 5.1%. This reflects a lower political premium due to hopes for a more sustainable macroeconomic policy in the wake of April's parliamentary election as well as the ruling party's determination to join the Eurozone by the end of this decade. Improved inflation outlook and MNB policy rate cuts pushed yields down as well. But maintaining such low risk premium is conditional on policy delivery matching investors' elevated expectations. Any signs of fiscal slippage or reform fatigue could quickly reverse part of the recent compression in yields.

Table 1: Hungary forecast overview

	(Annual percentage changes unless specified)					
	2023	2024	2025	2026	2027	2028
GDP	-0.7	0.7	0.4	1.8	2.1	2.8
Private consumption	-2.1	7.3	3.1	4.1	2.0	2.0
Fixed investment	-5.9	-8.6	-2.8	-0.1	2.7	5.3
Industrial production	-4.8	-3.8	-3.6	1.4	6.2	6.0
Current a/c balance (% of GDP)	0.5	2.5	1.7	-0.4	0.1	0.4
Unemployment rate (%)	4.1	4.5	4.4	4.6	3.9	3.2
Consumer prices	17.1	3.8	4.4	2.8	3.9	3.5
Government balance (% of GDP)	-7.0	-5.1	-4.7	-5.6	-4.7	-4.0
Gross government debt (% of GDP)	73.18	73.33	74.56	74.58	75.30	74.87
Central bank policy rate (% EOP)	10.75	6.50	6.50	5.50	4.75	4.00
10yr govt. bond yield (% EOP)	5.86	6.55	6.79	5.85	5.72	5.51
Exchange rate (Forint per US\$, EOP)	346.44	393.60	328.42	311.33	312.35	315.84

Source: Oxford Economics

Baseline forecast

Recent developments

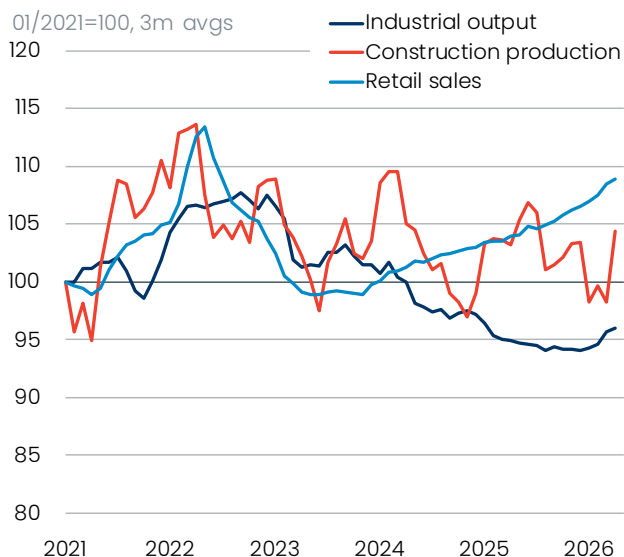
In Q1, GDP rose by 0.8% q/q, or 1.7% y/y, posting the strongest sequential pickup since Q3 2023. Household consumption was up 1.4% q/q, or 4.5% y/y, and was the main growth driver, buoyed by the generous pre-electoral stimulus. Stockbuilding added 2.1ppts to headline GDP quarterly growth, reaffirming that the start of the year saw the front-loading of orders due to the US-Israel war with Iran. Meanwhile, fixed investment remained broadly stagnant as construction, down 6.2% on the quarter, weighed on outlays.

Industry started Q2 on a soft footing as output fell by 1% on the month in April. On the year, output remained marginally up by 0.9%. All major goods categories contracted since March, with the notable exception of capital goods, where output was up 1.7% m/m, or 12.3% y/y, mainly driven by solid gains in car production. Elsewhere, construction saw a 6.9% monthly pickup in April amid strong civil works growth, bringing output in the sector to the highest level since January 2024.

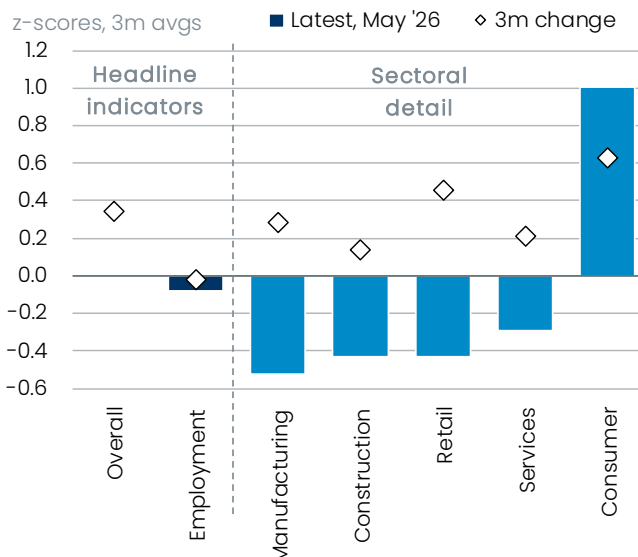
On the consumer front, retail sales shrank by 1.2% m/m in April, reversing part of the March gains. Overall, sales volumes remained a touch above the Q1 average, pointing to normalization of sales rather than a shift in consumer behaviour that would threaten solid consumption outlook. This is underpinned by the consistently tight labour market: the unemployment rate ticked down to 4.6% in April on the back of a modest pickup in employment. Wage growth remained elevated at 9% y/y in April. With inflation at 2.1% y/y in April before easing to 1.8% in May, annual real wage growth remained at 6.8% at the start of Q2.

Chart 1: The first quarter saw a broad-based pickup in activity and sentiment

Hungary: Key monthly indicators



Sentiment



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We've nudged our 2026 GDP growth forecast for Hungary up by 0.1ppt to 1.8% this year and kept next year's growth unchanged at 2.1%. We continue to see household consumption as the key growth engine in the near term, expanding by 4% this year and 2% over 2027-2028. This is underpinned by a tight labour market that's keeping wage growth at just below 10% y/y this year. In addition, consumer sentiment surged after the recent parliamentary election, and with elevated purchase intentions signal that spending will keep growing strongly.

We think the investment outlook, following a dramatic contraction since 2022, is broadly positive, but we expect a recovery to take hold next year. While the political decision to unlock the frozen EU funding envelope has just taken place, we think it'll be highly challenging for Hungary to absorb the full Next Generation EU funding of around €10bn, given the tight implementation deadline for the associated reforms at the end of August. Even if disbursements accelerate, such spending is likely to remain limited in the near term due to implementation bottlenecks and weak institutional absorption capacity. As such, we don't expect EU funds to provide a meaningful boost to economic activity before Q4.

However, the outlook for exports is more clouded, as Hungary's main trading partners, especially Germany, are struggling with soft activity. While manufacturing order books have started to recover, the improvement remains gradual, and the strong forint has pushed up the real effective exchange rate, weighing on external competitiveness. As a result, we expect manufacturing output to only rise by 1.4% y/y this year. By contrast, lower interest rates should provide support to more interest rate-sensitive sectors of the economy, particularly construction and consumer-facing industries.

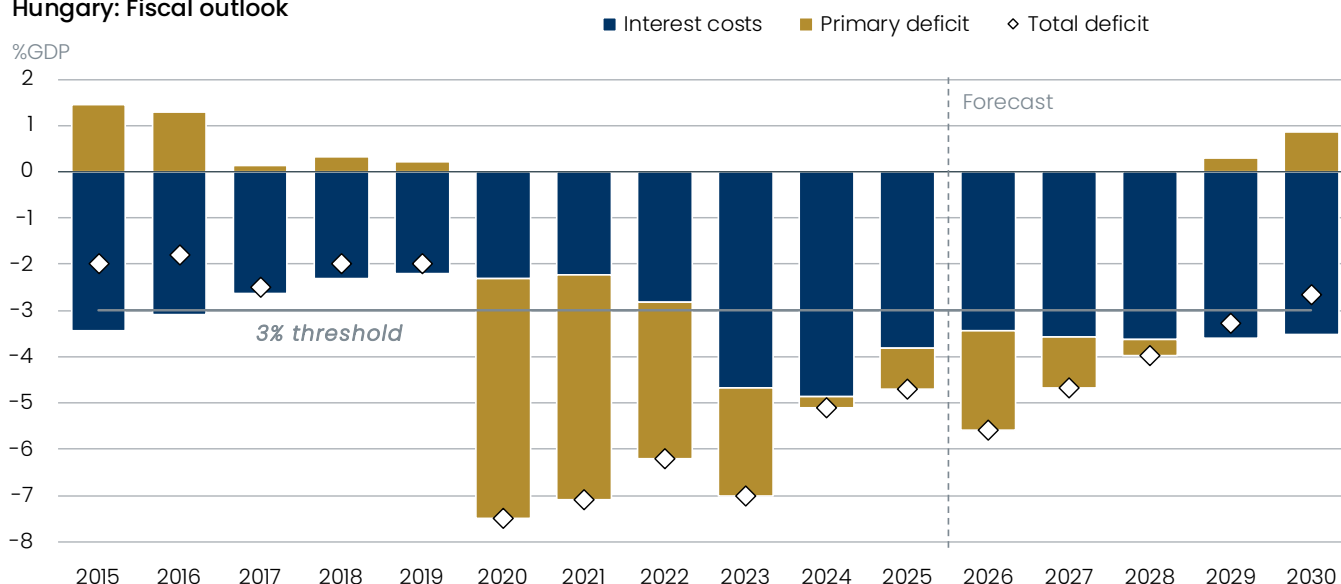
Policy assumptions

Fiscal policy. The year-to-date cash flow-based fiscal deficit was steady at 4.2% of GDP in May, around 0.8ppts higher than the last three years' average. Pre-electoral transfers and public-sector worker bonuses were the primary factors lifting expenditures by 22% y/y in Q1, well above revenue growth.

While the incoming Prime Minister Peter Magyar ran his campaign on a promise of a more prudent fiscal policy, he also campaigned for tax cuts and maintenance of the social programmes introduced by the outgoing administration. In addition, the elevated interest cost bill will render fiscal consolidation harder still ([Chart 2](#)). So, we expect a gradual narrowing of the deficit going forward, with risks skewed to a slower and more backloaded narrowing of the fiscal deficit than we assume.

Chart 2: High interest costs will prevent a fast narrowing of the fiscal deficit

Hungary: Fiscal outlook



Sources: Oxford Economics, Haver Analytics

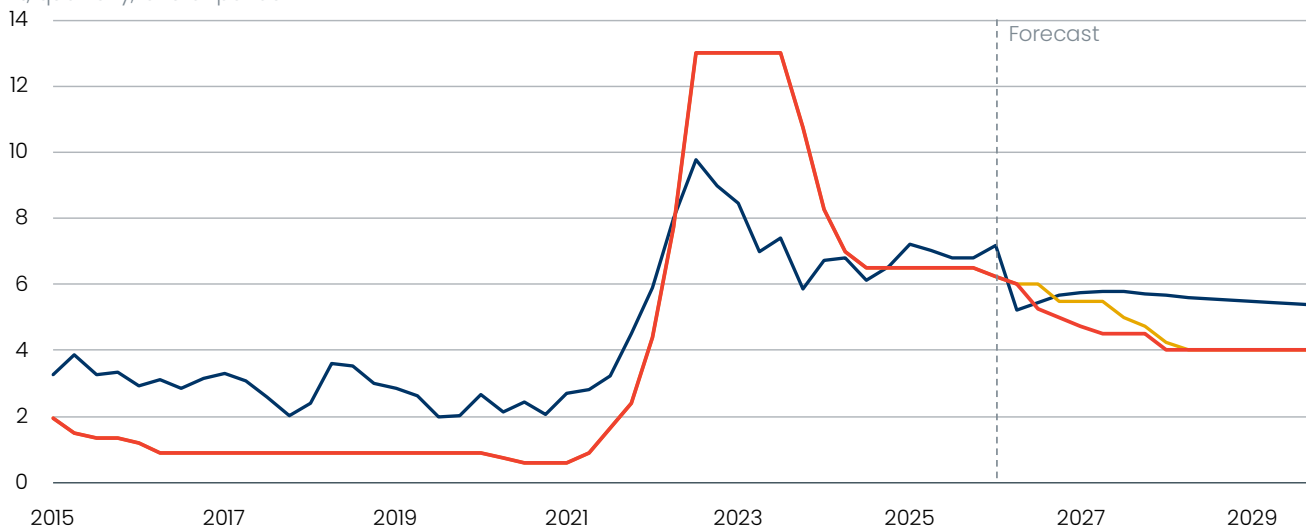
Monetary policy. The National Bank of Hungary (MNB) cut its policy rate by 25bps to 6% in [June](#), in line with expectations, marking what we see as the start of a sustained easing cycle supported by a strong forint, rapidly easing inflation and subdued domestic demand. Although growth is expected to strengthen, the recovery should be investment-led and generate only limited inflationary pressure. We now expect the MNB to deliver 100bps of

rate cuts by end-2026, taking the policy rate to 5%, with risks tilted towards even faster easing should inflation continue to undershoot and the forint remain strong ([Chart 3](#)).

Chart 3: We expect 100bps worth of cuts this year

Hungary: Financials

%, quarterly, end of period



Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

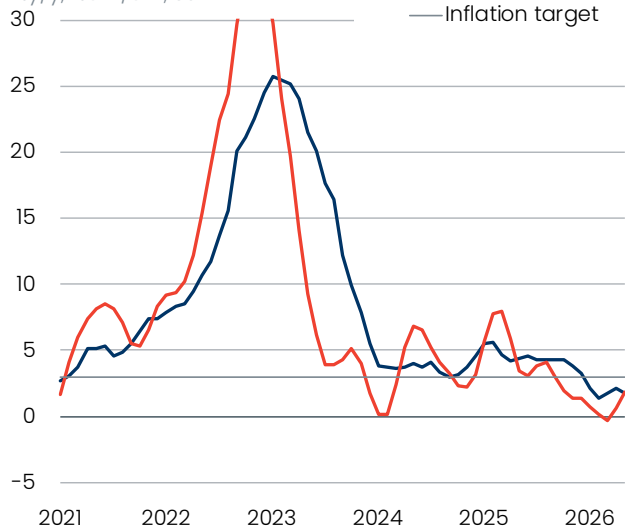
Inflation will remain subdued this year. Inflation has consistently undershot expectations since the start of the year, with the May reading of 1.8% y/y marking the latest downside surprise. Lower food prices and broadly stable fuel prices mainly drove the weakness, while core inflation eased to 2%. There's little evidence of meaningful second-round effects from higher energy prices, with the three-month annualised momentum in core inflation falling to its lowest level since 2016 ([Chart 4](#)), suggesting underlying domestic price pressures remain well contained.

We've already revised our 2026 inflation forecast down to 2.8%, but following the recent Iran-US deal and the renewed decline in oil prices, we'll lower it to around 2% this year and 3% next year in the upcoming forecast round.

Chart 4: Inflation will modestly rise through the rest of the year

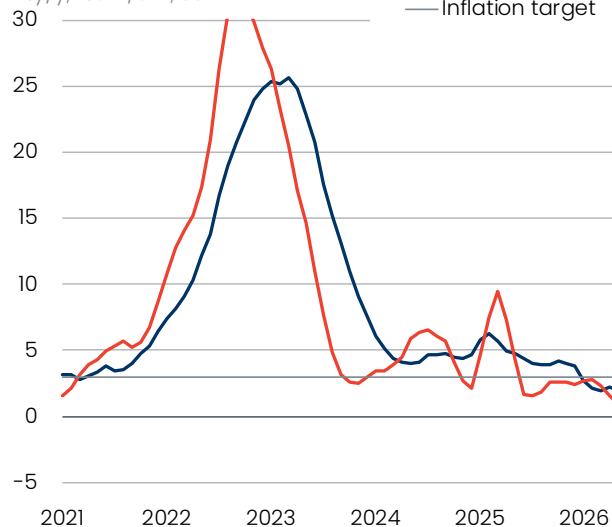
Hungary: Inflation

%y/y; %3m/3m, sa



%y/y; %3m/3m, sa

Legend: Core inflation (blue line), Momentum (red line), Inflation target (grey line).



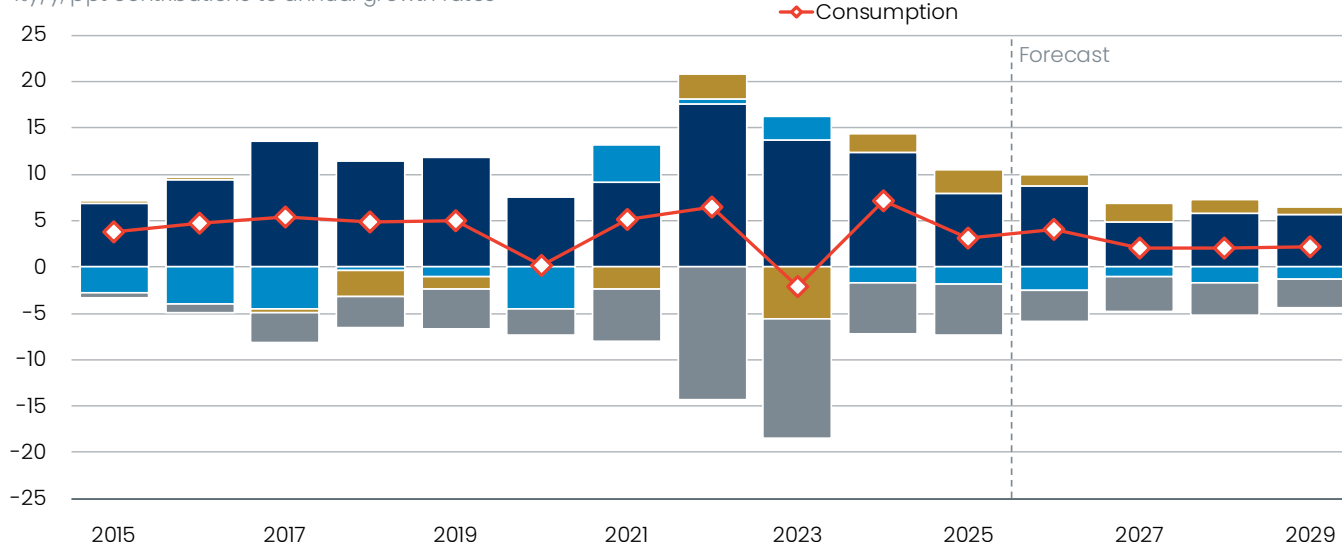
Sources: Oxford Economics, Haver Analytics

Consumption prospects remain favourable, buoyed by strong earnings growth. We forecast consumption will grow by a solid 4.1% this year. Consistently tight labour market with unemployment rate expected to fall to around 4.3% by year-end will keep nominal earnings growth very strong at 9.9% y/y. As this will coincide with subdued inflation, it will result in real wage gains at close to 7% y/y. Given improved consumer sentiment we expect most of these income gains to be spent, rather than saved.

Chart 5: Consumption growth will remain robust this year

Hungary: Real household consumption decomposition

%y/y, ppt contributions to annual growth rates



Source: Oxford Economics

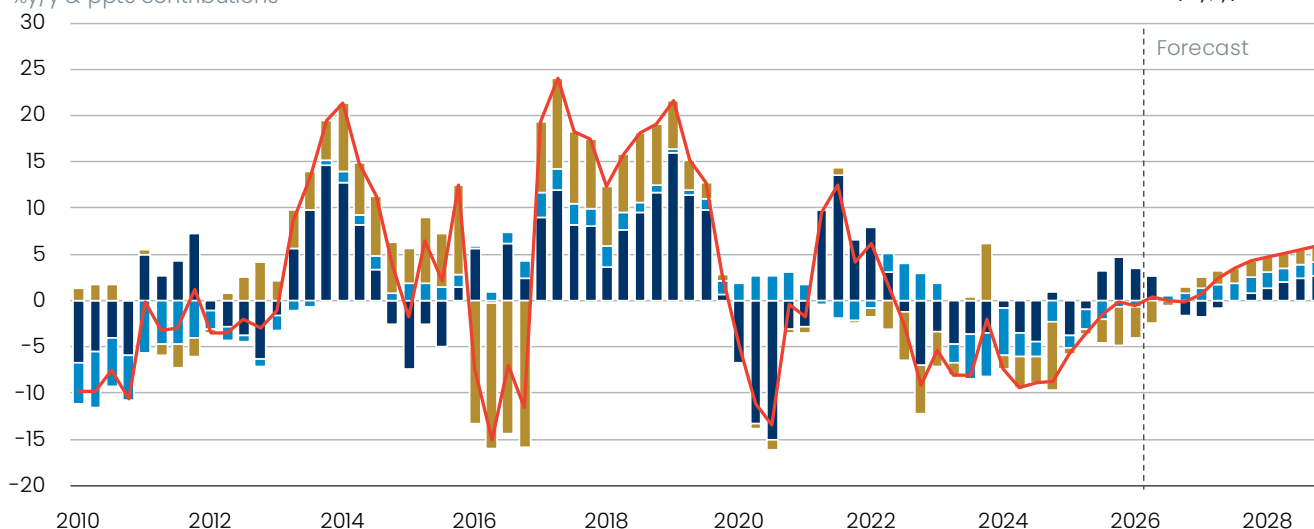
Investment will remain embark on a recovery starting in H2 2026. Investment was down by a cumulative 21% as of Q4 2025 since its peak in Q2 2022, and we expect them to remain stagnant on average in 2026 as the energy shock and high uncertainty has prompted companies to postpone their investment plans. At the same time, the

unlocking of the EU funds should result in a noticeable boost to outlays by Q4 and, together with stronger FDI inflows, set the stage for a gradual recovery in 2027–2028 ([Chart 6](#)).

Chart 6: Investment will embark on a recovery going forward

Hungary: Investment

%/y & ppts contributions



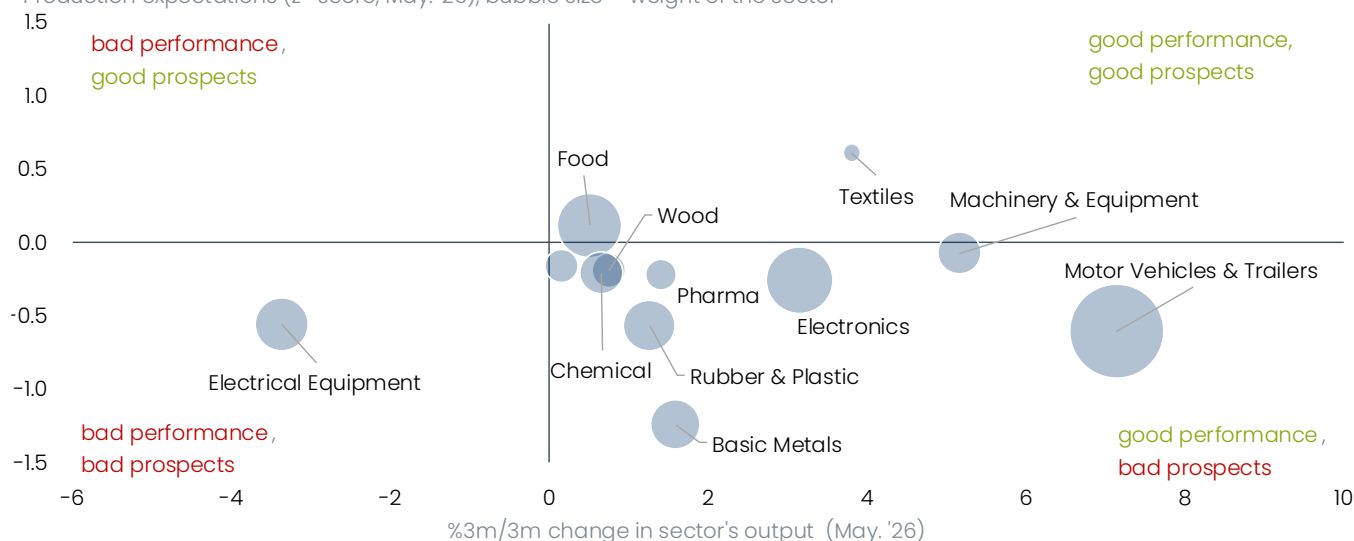
Sources: Oxford Economics, Haver Analytics

Industry will return to growth, but sectoral divergence will persist. Industrial output has been on a sustained contractionary path since 2023. However, we think a modest pick-up in Q1 at 1.7% q/q indicates that manufacturing has finally bottomed out. In April, orders were a solid 7.7% up on the year, with export orders providing key support. While we expect this, alongside the unlocking of the EU funds to translate into solid output gains next year and in 2028 at around 6% y/y, risks remain skewed to the downside and sectoral divergence will likely persist, as indicated by a wide gap between production expectations across industries ([Chart 7](#)).

Chart 7: Energy-intensive industries such as metals and plastics report weakest production expectations

Hungary: Manufacturing

Production expectations (z-score, May. '26), bubble size = weight of the sector



Source: Oxford Economics, Haver Analytics

What to watch out for

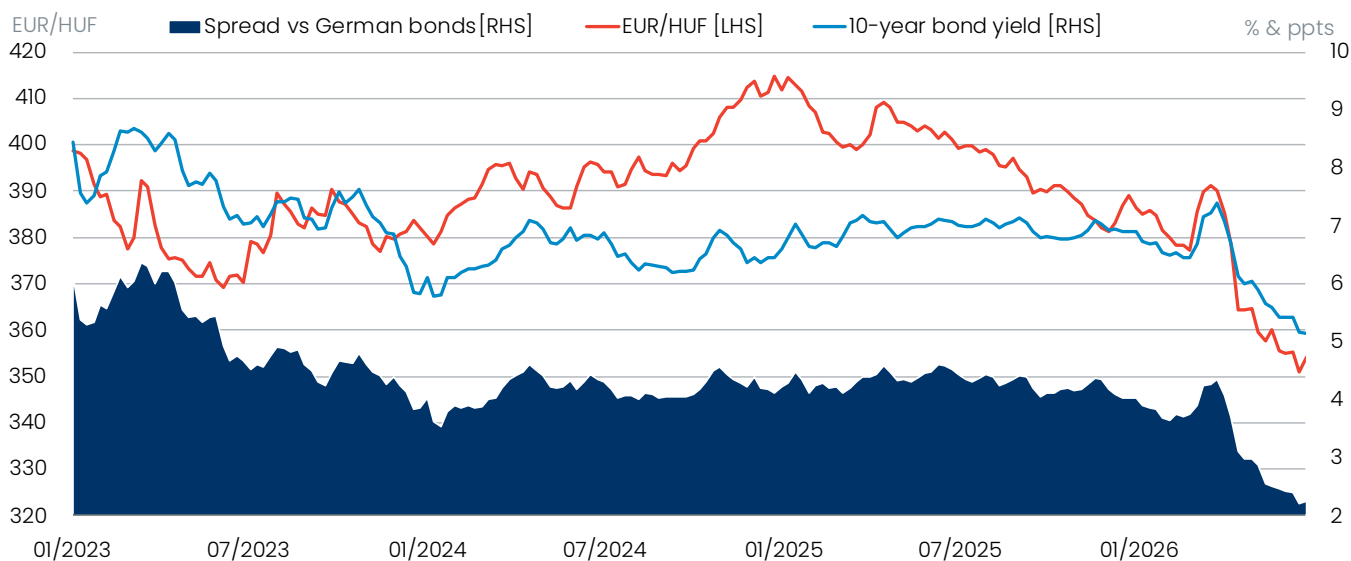
Elevated debt levels and material fiscal risk. The government failed to meet its target of reducing the fiscal deficit in 2024 and 2025. In the near term, the lagged impact of the protracted activity slowdown will keep a lid on fiscal revenue, and pre-electoral tax cuts, transfers, and subsidies will keep expenditure growth strong. So, in a negative scenario, we think there's a risk of the debt-to-GDP ratio picking up from the 75% level expected at the end of 2026.

Central bank policy rates and currency risk. Despite its recent appreciation, supported by market reassessment of the institutional and policy outlooks in the wake of Tisza's landslide parliamentary election win in April, the forint remains vulnerable to shifts in global risk sentiment and episodic sell-offs. This was evident after the onset of the US-Israel war with Iran, when the forint underperformed regional peers.

Following the election, improved policy credibility and expectations of a more orthodox economic framework have supported the currency and reduced risk premia, but external sensitivity remains elevated, leaving the forint exposed to renewed bouts of global volatility. Similar logic applies to long-term bond yields, which have fallen markedly since March, but remain susceptible to reversal should the pace of reforms or the fiscal outlook disappoint expectations.

Chart 8: Long-term bond yields and the forint have rallied since March

Hungary: Financials



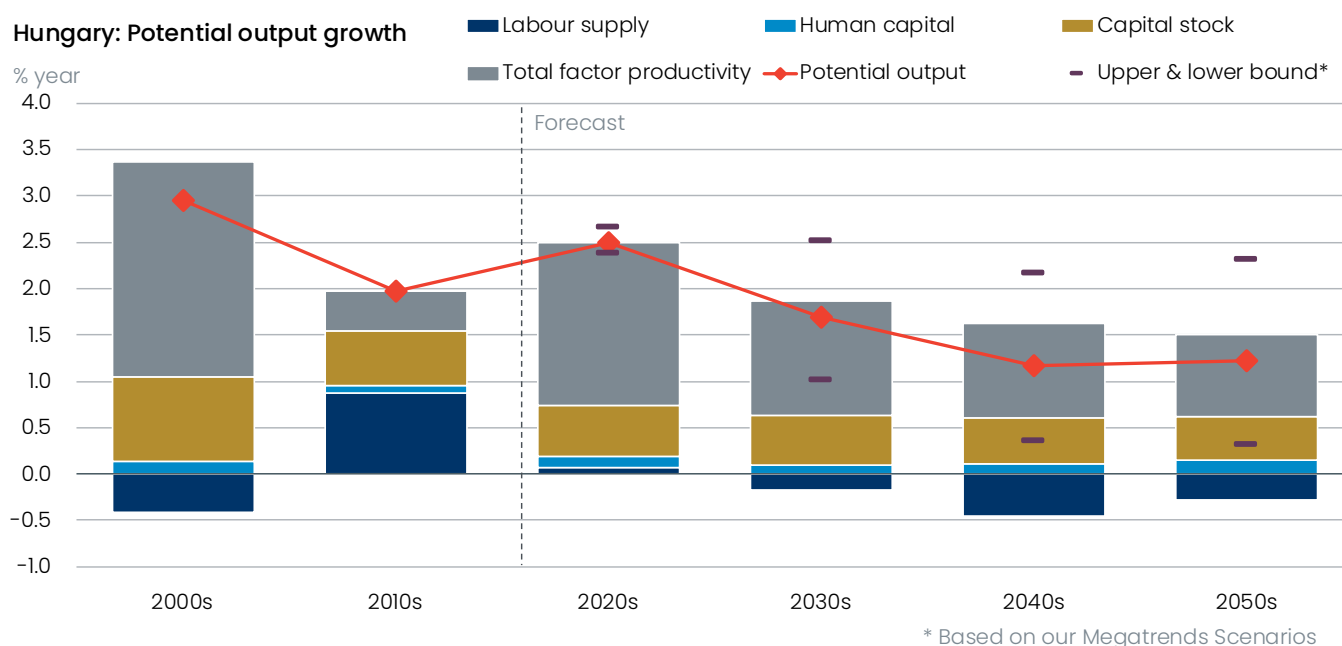
Sources: Oxford Economics, Haver Analytics

EU funds and reform outlook. Despite improved political clarity following the election, the incoming Tisza Party government is likely to face a challenging path in securing the payouts of the NGEU funds. Progress will hinge on delivering credible institutional reforms, particularly around rule-of-law conditionality, which may prove politically and administratively demanding in the near term. As a result, disbursements are unlikely to accelerate quickly enough to provide a meaningful near-term boost to investment, with implementation risks and negotiation frictions pointing to a gradual, rather than front-loaded, improvement in funding flows.

Long-term prospects

We expect the Hungarian economy to grow at a moderately faster pace over 2021–2030 than during the 10 years before the pandemic ([Chart 13](#)). Hungary still has considerable 'catch-up' potential. In 2023, GDP per capita was about 78% of the Eurozone average in terms of purchasing power parity. So, we see ample room for convergence.

Chart 9: Our baseline forecast assumes labour supply will become a drag starting in the 2030s



Sources: Oxford Economics, Haver Analytics

As FDI fell from the highs of the mid-2000s, so did the contribution from capital. But investment picked up again in 2017–2019 due to the massive inflow of EU funds and the still-favourable wage differential. That, alongside Chinese greenfield FDI, will keep investment high over the next few years, boosting the economy's productive potential.

However, Hungary's poor demographic profile will constrain its long-term growth as we expect the working-age population to contract at an average rate of 0.5% per annum over the next five years. And it isn't apparent what proportion of Ukrainian refugees will settle permanently in Hungary, pointing to downside risk to our working-age population projection.

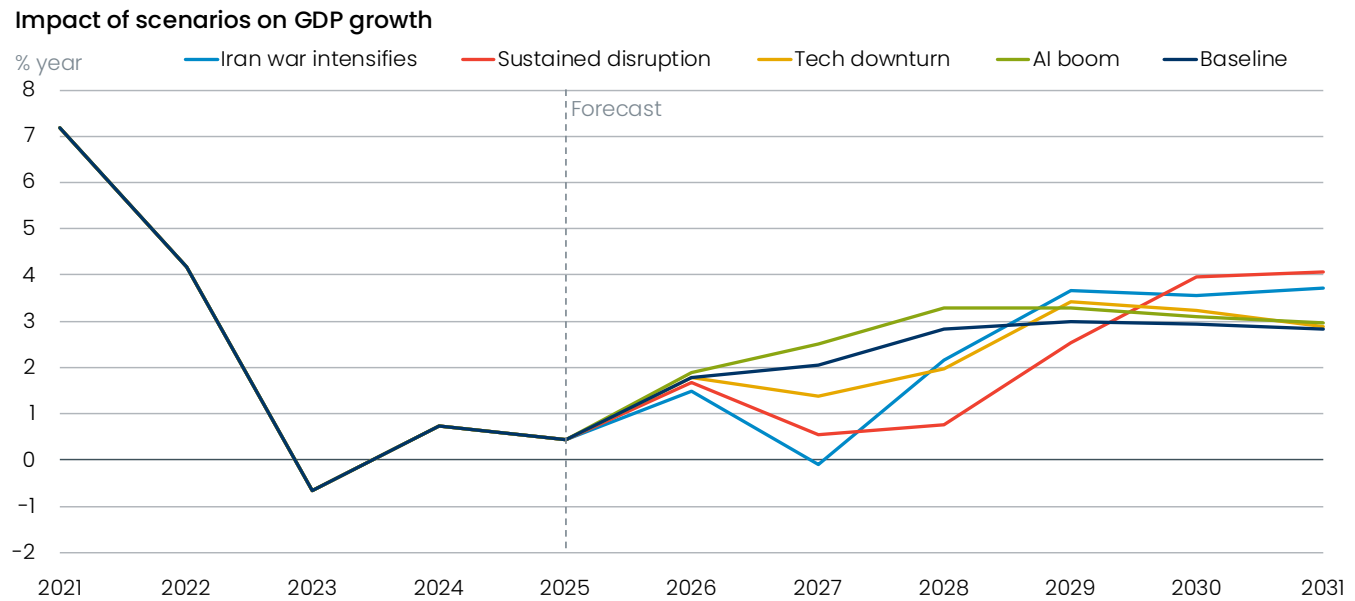
The deterioration in the quality of institutions over the past decade will likely exacerbate the ineffectiveness of governance, especially within state-operated enterprises, and hamper private activity and business creation. We expect potential growth to fall to around 2% in the 2030s and 1.5% in the 2040s and 2050s.

Scenarios

Exposure to key global risks

AI boom. The global economy is bolstered in this scenario by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuel gains in productivity. US tech capital spending continues to grow sharply, mirroring the upswing witnessed in 1990s. Digital technology investment rises by a further 15% in the first year of the scenario. Stock markets gain at the same time, supported in part by looser Federal Reserve policy than in our baseline forecast. Exporters of tech products and other economies gain from robust US demand. Over the next three years, Hungarian GDP growth would be 0.3ppts a year above our baseline forecast in this scenario (Chart 10).

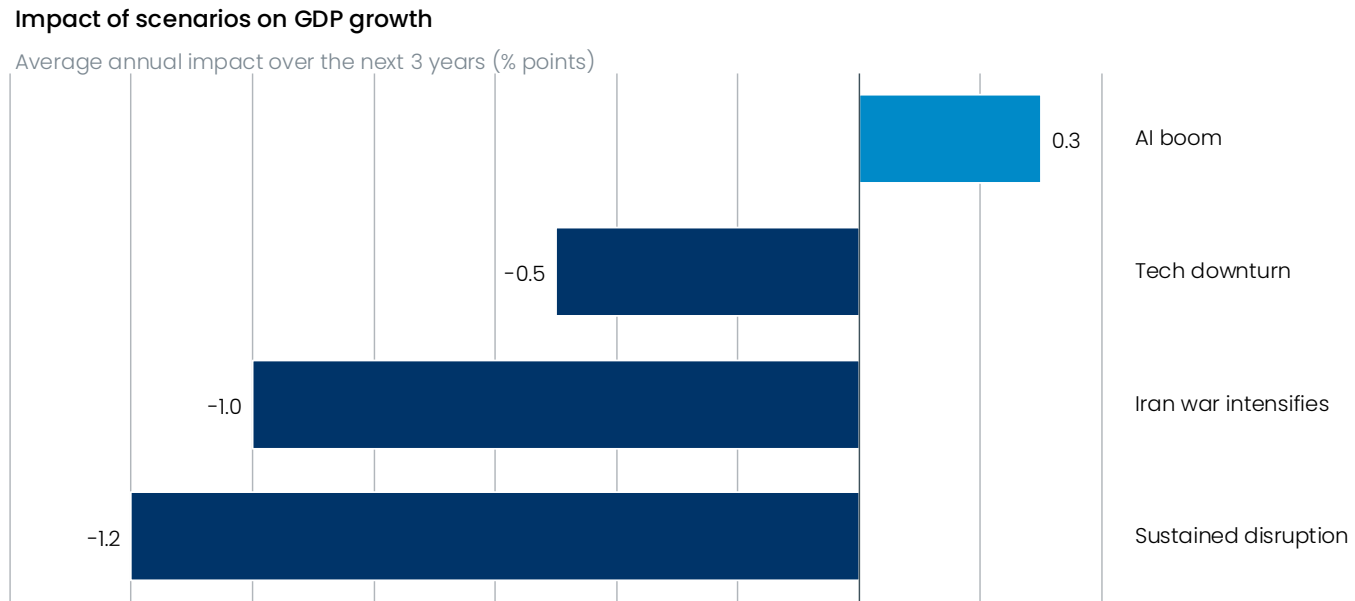
Chart 10: A more severe trade war and a tech downturn are key near-term risks



Source: Oxford Economics

Sustained disruption. In this scenario, the Strait of Hormuz remains effectively closed until 2028. Energy prices remain elevated as a result. Oil prices rise to \$120pb in the near term and edge higher to around \$130pb over the course of 2027 as inventories are drawn down. Inflationary pressures rise over time. Supply-chain pressures outside the energy sector persist and the protracted period of higher energy prices leads to a steady rise in inflation expectations. Central banks react by tightening policy and government bond yields rise steadily above the baseline. In this scenario, Hungarian GDP growth is 1.2ppts below the baseline over the next three years ([Chart 11](#)).

Chart 11: Risks are skewed to the downside



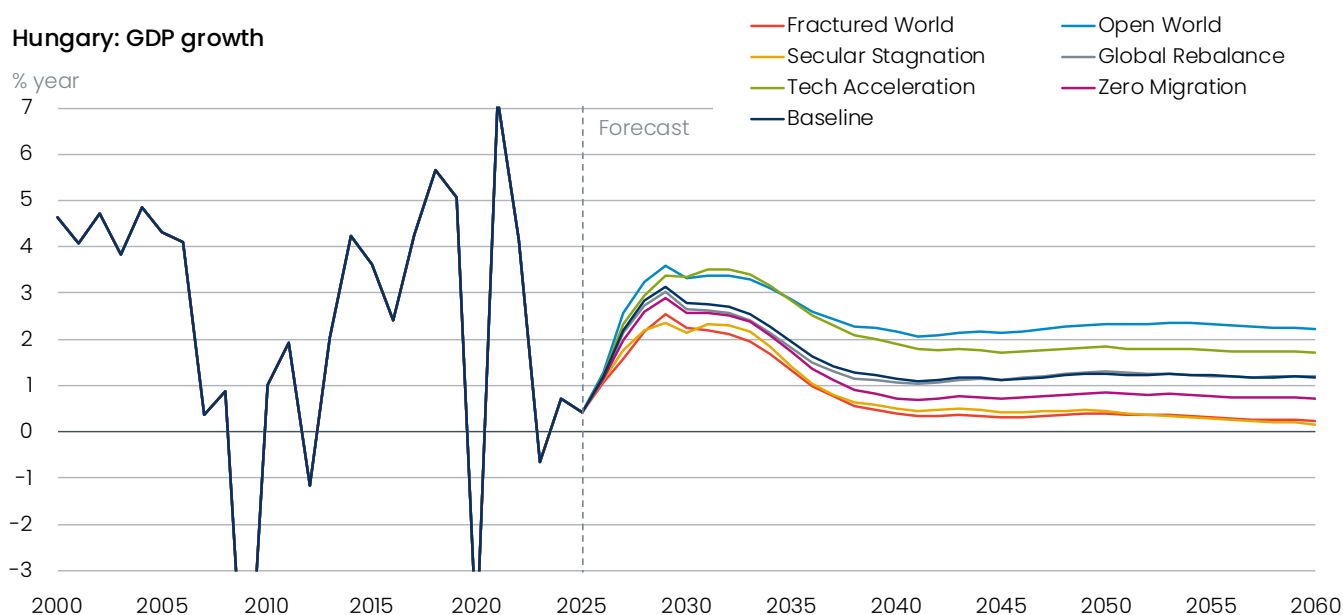
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, mostly advanced economies, benefit first. Productivity growth strengthens amid a more stable business environment, technological progress, and higher fertility rates compared with our baseline ([Chart 9](#)). Sustained real wage growth increases labour market participation. Nominal and real interest rates also rise. Hungary's annual GDP growth would be 1.2ppts higher than in our baseline forecast from 2030–2060.

Chart 12: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Hungary's GDP would grow by 0.8ppts a year less than in our baseline forecast.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	Jun 2026 (Scores from 1 to 10 with 10 = highest risk)	Score change from December	Rank out of 164 (1 = best)
Overall	4.7	0.0	56
Market demand	4.0	0.0	27
Market cost	4.0	0.0	40
Exchange rate	4.4	-0.1	109
Sovereign credit	4.9	-0.2	110
Trade credit	6.0	0.0	33

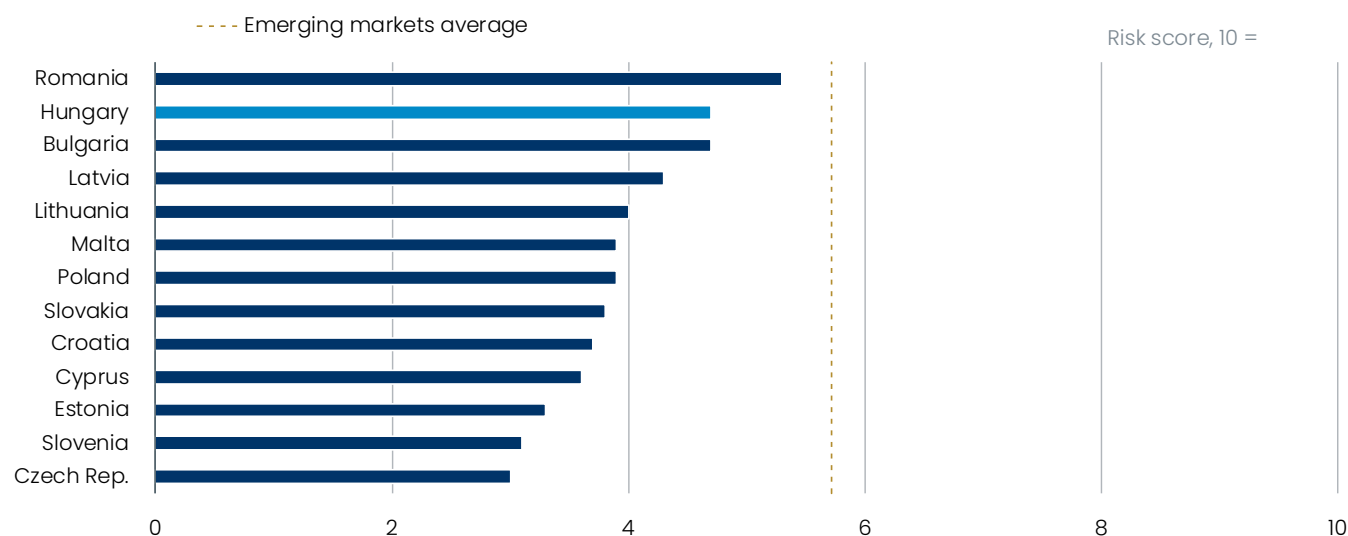
Source: Oxford Economics

Overall risk for Hungary: 4.7/10*

Hungary's overall risk score of 4.7 is unchanged from six months ago. It ranks 57th out of 164 countries, below the emerging markets average of 5.5. But that still places Hungary near the top of the regional risk ranking ([Chart 13](#)).

Chart 13: Hungary is one of the riskiest economies in CEE

Economic risk: Hungary vs Emerging markets average



Source: Oxford Economics

GDP growth was robust prior to the pandemic, averaging around 5% in 2017–2019 as the economy continued to benefit from EU structural funding, supporting large investment outlays. While the post-pandemic rebound was robust, the economy has remained in a broad stagnation since mid-2022 as the energy and inflation crises weighed on industrial competitiveness and cuts to public investment outlays kept domestic demand at bay.

The outlook has improved following the recent election, with a more predictable policy environment and reduced tensions with the EU expected to support a gradual recovery in investment and broader activity. External headwinds remain though, including still-fragile foreign demand and the lagged impact of the energy shock, but by year-end, these should be partly offset by stronger demand from key trading partners, including fiscal stimulus in Germany.

Medium-term risks are concentrated around an increasingly adverse demographic profile, which is likely to constrain labour supply, a challenging fiscal outlook – driven in part by the highest interest burden in the EU – and ongoing vulnerabilities related to the diversification of energy import sources.

Market demand: 4.0/10

The market demand risk score is 4.0, below the EM average of 5.8, reflecting a solid near-term consumption outlook and an expected recovery in investment. Following a strong, consumption-led post-pandemic rebound, domestic demand weakened following the energy shock of 2022 and 2023 and has only partially recovered since.

The new government has succeeded in unlocking previously frozen Next Generation EU funds, although disbursements remain conditional on the implementation of far-reaching reforms, while absorbing the available funds effectively may prove challenging. Still, structural funds and Security Action for Europe (SAFE) loans should support an investment recovery in 2026–2027, before growth moderates as investment normalises and demographic constraints intensify. However, persistent energy price pressures pose a downside risk to the investment outlook.

Market cost: 4.0/10

Hungary's market cost risk score is 4.0. Despite the prospect of elevated inflation in the short term, the score is still below the emerging markets average of 5.8. The government tends to use indirect taxes to recoup higher pandemic-related expenditures. Meanwhile, strong cost pressures, not least due to elevated nominal wage growth, point to a lingering risk to medium-term price stability.

Resilient nominal wage growth will result in higher costs for businesses, especially in the services sector, where the labour cost component is larger. But higher labour costs will also [limit the competitiveness of manufacturing](#), with low-value-added production increasingly at risk from being relocated to cheaper destinations.

Exchange rate: 4.4/10

Hungary's exchange rate risk score is marginally down from six months ago but still moderately above the emerging markets average of 4.2. This is due to the forint's volatility, the vulnerability of Hungary's economy to higher US tariffs, and elevated external debt.

Since Russia's invasion of Ukraine, the forint remained relatively volatile and responsive to the fast-changing global risk sentiment. However, more recently, the forint has shown greater resilience despite heightened geopolitical tensions and energy price volatility, supported by a still relatively hawkish central bank and market pricing in more sustainable policy mix following a growth-favourable election outcome. Indeed, the forint gained around 8% relative to the euro since the start of the year, with EUR/HUF trading around 355, the lowest since 2022. We expect these gains to be broadly maintained in the near term. However, sustaining a more durable appreciation will require firm policy action, particularly on fiscal consolidation, EU relations, and reducing external vulnerabilities.

Sovereign credit: 4.9/10

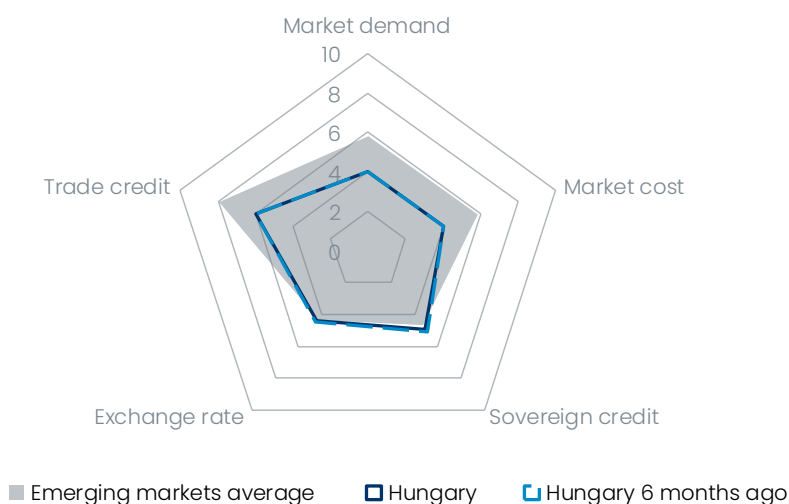
The sovereign credit risk score is elevated at 4.9. Hungary has investment-grade status from all three leading credit-rating agencies. But the pandemic pushed the deficit up to 7.5% of GDP in 2020, with only a modest narrowing over the following four years. High long-term interest rates lifted interest costs to an estimated 4.4% of GDP in 2025. In response, S&P Global lowered the rating outlook to negative in April 2025.

The fiscal deficit narrowed to 4.7% of GDP in 2025 but we expect it to widen to 5.7% this year as the new government is unlikely to pursue a meaningful fiscal consolidation in the near term. While long-term bonds have

enjoyed a noticeable rally, curbing the 10-year bond yields to around 6% in the wake of the election and further toward 5.1% on the back of improved inflation expectations and associated dovish repricing of sustaining this momentum will depend on a credible fiscal adjustment and improved policy predictability.

Chart 14: Hungary's sovereign credit risk is higher than the EM average

Economic risk: Hungary vs Emerging markets average



Source: Oxford Economics

Trade credit: 6.0/10

Trade credit risk – a measure of private-sector repayment risk – is moderate at 6.0, unchanged from six months ago and below the emerging markets average of 7.1. This score is due to the weak banking sector and heavy dependence on energy from abroad – half of Hungary's energy is imported, mostly from Russia. Corporate non-performing loans as a share of total lending rose sharply following the global financial crisis, but have stabilised in recent years as the stronger growth environment has helped to mitigate risk.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).

Debt sustainability analysis

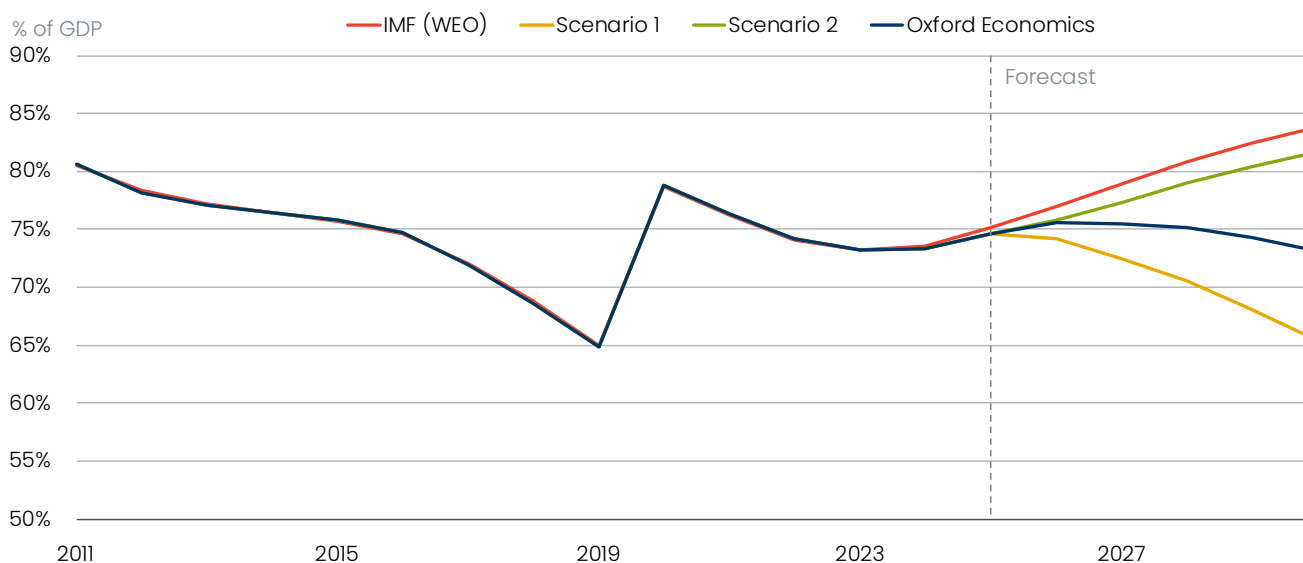
We expect Hungary's gross debt-to-GDP ratio to stabilise at 75% over 2026–2028. We think fiscal consolidation and a recovery in the primary balance will only take hold from late 2026, after the new government is established. But the consolidation will be relatively slow, hampered by elevated interest costs as well as difficulties in curbing expenditures.

We have modelled two alternative debt scenarios. A downside Scenario 1 assumes that the fiscal consolidation falters and the primary balance remains below -0.5% GDP throughout the projection horizon, relative to our baseline assumption of reaching a primary surplus of around 1% GDP in the early 2030s. In addition, annual GDP growth proves 0.3ppt weaker on average until 2040 and real interest rate on debt is around 30bps higher. This keeps debt-to-GDP ratio on a upside trajectory, on track to reach 90% by mid 2030s ([Chart 15](#)).

Alternatively, Scenario 2 assumes a faster fiscal consolidation with primary balance turning positive in 2029 already. This, alongside a credible promise to join the ERMII mechanism on the way to the euro adoption, cuts the effective interest rate on debt ultimately by around 1%. In this scenario, debt-to-GDP ratio falls to around 67% by end-decade.

Chart 15: Debt-to-GDP ratio will increase noticeably under a negative scenario

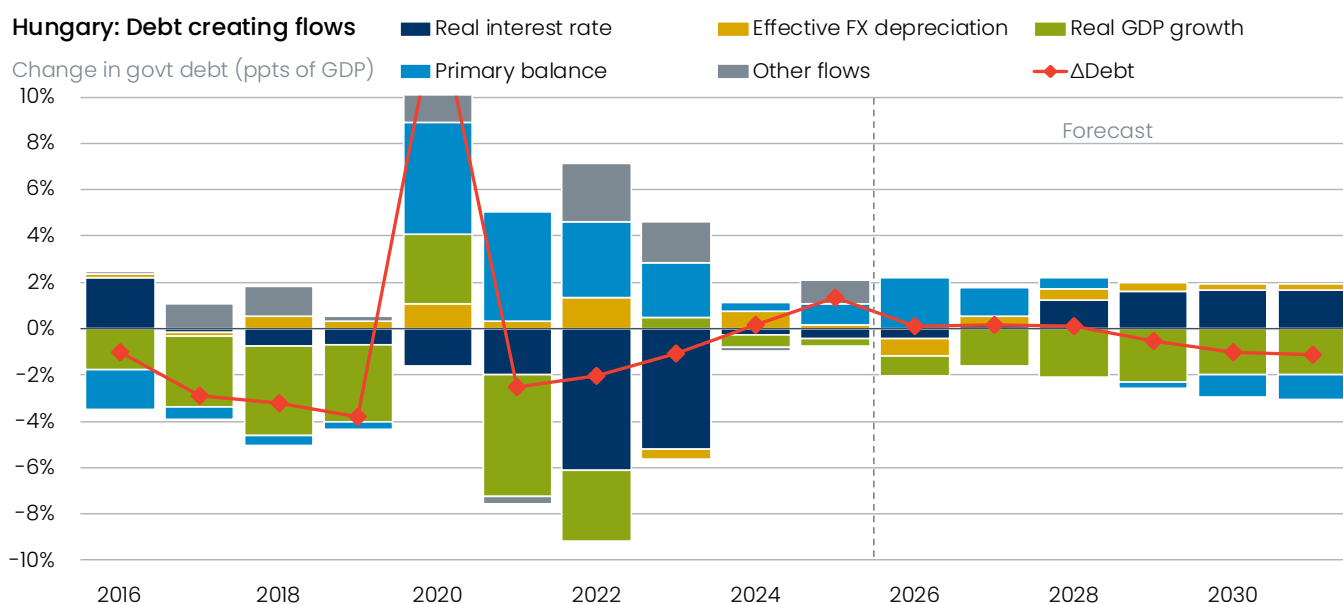
Hungary: DSA gross government debt forecast



Source: Oxford Economics, IMF, Haver Analytics

Our baseline expectation that debt will stabilise over the next three years and return to a modest downward trend thereafter is dependent on the economy returning to growth close to its potential and steady fiscal consolidation under the next government leading to a primary surplus.

Chart 16: Moderate growth will stabilise debt



Sources: Oxford Economics, Haver Analytics

Table 3: Summary of macro projections

	2025	2026	2027	2028	2029	2030	2031
Real GDP growth (% y/y)	0.4	1.8	2.1	2.8	3.0	2.9	2.8
GDP deflator (% y/y)	6.2	6.2	3.5	3.3	3.1	3.0	2.9
Real effective interest rate on debt (%)	-0.7	-1.2	1.5	1.7	1.9	2.0	2.0
Primary balance (% of GDP)	-1.0	-2.2	-1.1	-0.4	0.3	0.8	0.9
Real effective FX depreciation (% y/y)	4.2	-3.5	-0.1	2.3	2.1	2.2	2.3

Source: Oxford Economics